

1-C:

From the given information, we can conclude that there is fund allocation of government funds from high income regions to low income regions. This explains the important concept of the economic problem that is opportunity cost. Opportunity cost is money or benefits lost by not selecting a particular option during the decision-making process. Therefore this makes option C correct.

Why not other options?

A-diseconomies of scale occurs when the ATC of firms rises that shifts the ATC upwards.

B-market forces means when $d=s$

D-specialisation means focusing on specific tasks to gain competitive advantage

2-A:

Aircraft is one of the capital as a four factor of production, alongside land, labor, and entrepreneurship. It refers to the man-made goods used in the production of other goods and services. Thus this matched with its column, making it correct.

Why not other options?

B-airline owners—enterprise

C-computer networks—capital

D-pilots—labour

3-B:

The Production Possibilities Curve (PPC) is a model used to show the tradeoffs associated with allocating resources between the production of two goods.

All the points inside and on the PPC are currently available and produced by an economy that is U,V,X and Y. While other points outside the PPC,W and Z can be attained when in the long run or by importing from another country.

4-B:

A market system based on the demand and supply with little or no government control. In this market economy, consumers may lack information as they underestimate the benefits of the consumption of merit goods and overconsume of demerit goods. This leads to market failure in such economies and thus consumers have to suffer it.

Why not other options?

A-In this system, consumers has their sovereignty and their choices are fulfilled by the producers

C-there is no interference of the government

D-there is profit incentive to work in this system

5-C:

It is mentioned that workers wages have been increased, that increases the demand for workers shifts the DL1 toDL2 in expectation of higher productivity to meet the increase in cost. Unfortunately, the productivity does not increase so the cost of the firms will start to rise and thus shifts the supply curve to the leftward. As a result of the decline in supply, the price

of the products rises and thus quantity demanded contracts. Hence workers do not buy the products and make option C correct.

6-A:

A Market Shortage occurs when there is excess demand- that is quantity demanded is greater than quantity supplied.

In diagram #1, we can see that at the 'e' level of equilibrium where $d=s$. In addition, the demand is shifting outwards from D_1 to D_2 but the supply remains the same. Hence, making the situation where quantity demanded exceeds the quantity supplied, creating shortage in a market.

Why not other options?

B-In this diagram, the supply is shifting or increasing creating surplus at Q_2 level of output.

C-In this diagram, there is neither shortage nor surplus at Q level of output.

D-In this diagram, there is also neither shortage nor surplus at Q_1 and Q_2 level of output.

7-C:

PED is defined as the percentage change in quantity demanded divided by the percentage change in price.

$PED = \% \text{ change in quantity demanded} / \% \text{ change in price}$

8-A:

Traffic congestion is one of the external costs. External costs, also known as negative externalities, are uncompensated costs that an economic activity imposes on a third party.

This leads to market failure. Hence to reduce the impact of external costs to the society, the government imposes the toll charges on the new roads.

Why not other options?

B-No, it couldn't be the possible as the government itself provides the public goods to the public

C-No information given about the $D=S$ or private sector in the above question

D-No, as question emphasis on to reduce the traffic congestion

9-B:

No—Central banks do not support the growth of the firms as they are the lender of last resort to the commercial banks and the government only, not the firms.

Yes—Commercial banks provide loans to the firms and private individuals with the profit motive.

No—The government also does not support the growth of the firms, as such growth would result in the formation of the monopolies bodies.

10-B:

Paper money is fragile—it can be destroyed much easier than coins—but what concerns a lot of people is that it can also be issued without any backing. If a nation needs more of it, it only has to print more, and that can lead to hyperinflation and economic disaster. Therefore the coins are more durable than the paper notes and makes option B correct.

Why not other options?

Option A,C and D are the advantages of the paper notes not the coins.

11-D:

Low income people would have a smaller percentage of the savings as they usually earned a small percentage of income and the higher percentage of the income spent on the consumption of necessities goods. This leads to fewer savings percentage ratios of income to be saved.

Why not other options?

A-High income groups borrow more than low income groups as to increase the returns on their investments

B-High income groups saves more as their high earnings leads to fewer percentage to be spent on the necessities and thus saves more than low income groups

C-No, low income groups find it difficult to borrow due lack of collateral securities

12-D:

Gross Income. Net Pay. Pre-tax income, also known as pre-tax earnings, represents a company's or individual's net income before subtracting any income taxes. Gross income pay should be **lower** as it increases the income of a musician.

In addition, after tax income should be **higher** as it will increase the disposable income of a musician.

Further, the cost of living should be **lower** as it reduces the expense of living

13-B:

A fall in interest rates would affect two of the parties: savers and borrowers

Savers would save less as they would earn less returns on their savings, thus savers will **decrease** their savings.

Borrowers would **increase** their borrowings as their cost of borrowing would reduce and thus allow them to borrow more in times of low interest rates.

14-B:

Specialization in business involves focusing on one product or a limited scope of products so as to become more efficient. Specialization can increase productivity and provide a comparative advantage for a firm or economy.

Greater interdependence refers to a situation where firms and workers focus more heavily on each other for various aspects such as trade, resource and information. This will cause problems for an economy of being specialized.

Why not other options?

Other options A,C and D are the advantages of the specialisation.

15-A:

Yes small firms are more adaptable than larger firms as they can easily change the production process as large firms working on large scale with big investments.

Why not other options?

B-Small firms do not have power to create the barriers

C-Large firms can benefit from economies of scale

D-Smaller firms have low TFC due to small in size

16-D:

Government budget, forecast by a government of its expenditures and revenues for a specific period of time. Therefore makes option D correct.

17-B:

Progressive taxation means higher tax rates for those with higher income or more wealth, so that those who earn or have more are taxed at a higher rate.

From the given we can identify that the level of income increases, increases the rate of income taxes also. Therefore, it makes option B the correct answer.

Why not other options?

A-indirect tax is a tax levied on goods and services rather than on income or profits.

C-A proportional tax, or flat tax, is a tax in which all income levels are taxed at the same rate. This can't be seen in the table

D-A regressive tax is a tax imposed by a government which takes a higher percentage of someone's income from those on low incomes. This means that those with lower incomes pay more in tax relative to their income.

18-C:

A fall in interest rates will increase the rate of inflation as low interest rates increase the consumption, investment expenditure and currency depreciates. These all increase the AD in an economy, therefore AD would exceed AS and prices start to rise.

Why not other options?

A-yes, the cost of borrowing will reduce and borrowers benefit

B-yes, the fall in interest rates will increase the supply of currency going out of the country and thus value of currency depreciated

D-yes, fall in interest rates will increase the AD and thus rise in GDP

19-C:

Yes, the output was the highest 10% ($5\%+3\%+1\%+(-1\%)+2\%$)

Why not other options?

A-No, it increases at a decreasing rate

B-No, the lowest only 5%

D-No, output was lowest in year 1. The output goes negative only

20-A:

GDP represents the sum of the market values of all final goods and services produced.

Yes payment of an income would be made and recorded and cause GDP to rise.

Why not other options?

B-This is not related to GDP

C-Still GDP rise

D-Statement has nothing to do with GDP

21-B:

The unemployment rate is a key economic indicator that reflects the percentage of the labor force that is jobless and actively seeking employment. It's calculated by dividing the number of unemployed individuals by the total labor force and multiplying by 100.

22-D:

Inflation is the rate of increase in prices over a given period of time.

A trade union is an organized association of workers formed to protect and advance their collective interests, primarily through negotiations with employers. These interests include wages, benefits, working conditions, and job security

An increase in trade unions power will likely lead to higher wages. As a consequence, the cost of the firm will rise and thus lead to reduced AS and results in cost push inflation.

Why not other options?

A-reduction in exports will reduce the export revenue. This also reduces the AD and prices start to fall

B-fall in government spending will reduce the AD and prices will fall.

C-in increase in the rate of interest rates will reduce the consumption and investment. This leads to a fall in AD and prices start to fall.

23-A:

If there is rising unemployment, the incomes would usually fall in an economy. The AD is also decreasing, prices are also falling and thus falling in output of an economy. Hence there is reduction in economic growth. This makes option A the correct answer.

24-D:

Real income = Nominal% - Inflation%

UK = $+6.5 - (-2.0) = +8.5$

Why not other options?

A- +3.0

B- 0

C- +5.0

25-C:

The Human Development Index (HDI) has three key components: health, education, and standard of living. Therefore, option C is correct one

While environmental sustainability is the part of Measure Economic Welfare

26-C:

Absolute poverty is a state of being in which a person lacks the necessities of life, such as food, clothing, and shelter. In contrast, relative poverty is a condition in which a person's income is insufficient to meet his or her needs when compared to others in society.

The benefits to the homeless people will benefit the poor and help to reduce the absolute poverty

Why not other options?

A-Government unemployment benefits is increasing that means that poverty also rising

B-if Income tax is reducing, tax revenues is also decreasing as it benefits the rich and thus increases the poverty

D-if inflation rate is also reduce then it will benefits rich too

27-A:

$$280-350+110-60-40=-60$$

This makes option B correct one

28-C:

Insurance is a service so record in trades in service.

While the Vietnamese are buying from the US, payments are being made and outflow of currency. This leads to debit in the balance of payments.

29-B:

An import quota is a restriction placed on the importation of a particular type of good that has been manufactured outside of the country. The effect of the import quota is to limit how much of the goods may be brought into the country during a specified time period.

Why not other options?

A-dumping refers to the practice of exporting goods at a price lower than their normal value, typically either below the price charged in the exporter's domestic market or below the cost of production.

C-Export subsidy is a government policy to encourage export of goods and discourage sale of goods on the domestic market through direct payments, low-cost loans, tax relief for exporters, or government-financed international advertising.

D-tariff is a tax on goods and services imported into a country. It is typically used to increase the price of imported goods, making them more expensive than domestic goods and services, thus protecting domestic industries.

30-A:

A multinational corporation (MNC) is usually a large corporation incorporated in one country that produces or sells goods or services in various countries.

High economic growth rates will encourage more spendings. This increases the consumption and benefits MNC's

Cheap labour means low wages and therefore low cost and higher profits

Why not other options?

B-low corporate taxes will encourage but competitive environment will make MNC's discourage

C-cheap land encourage while limited supply of labour will increase the wages

D- both factors discourage MNC's

